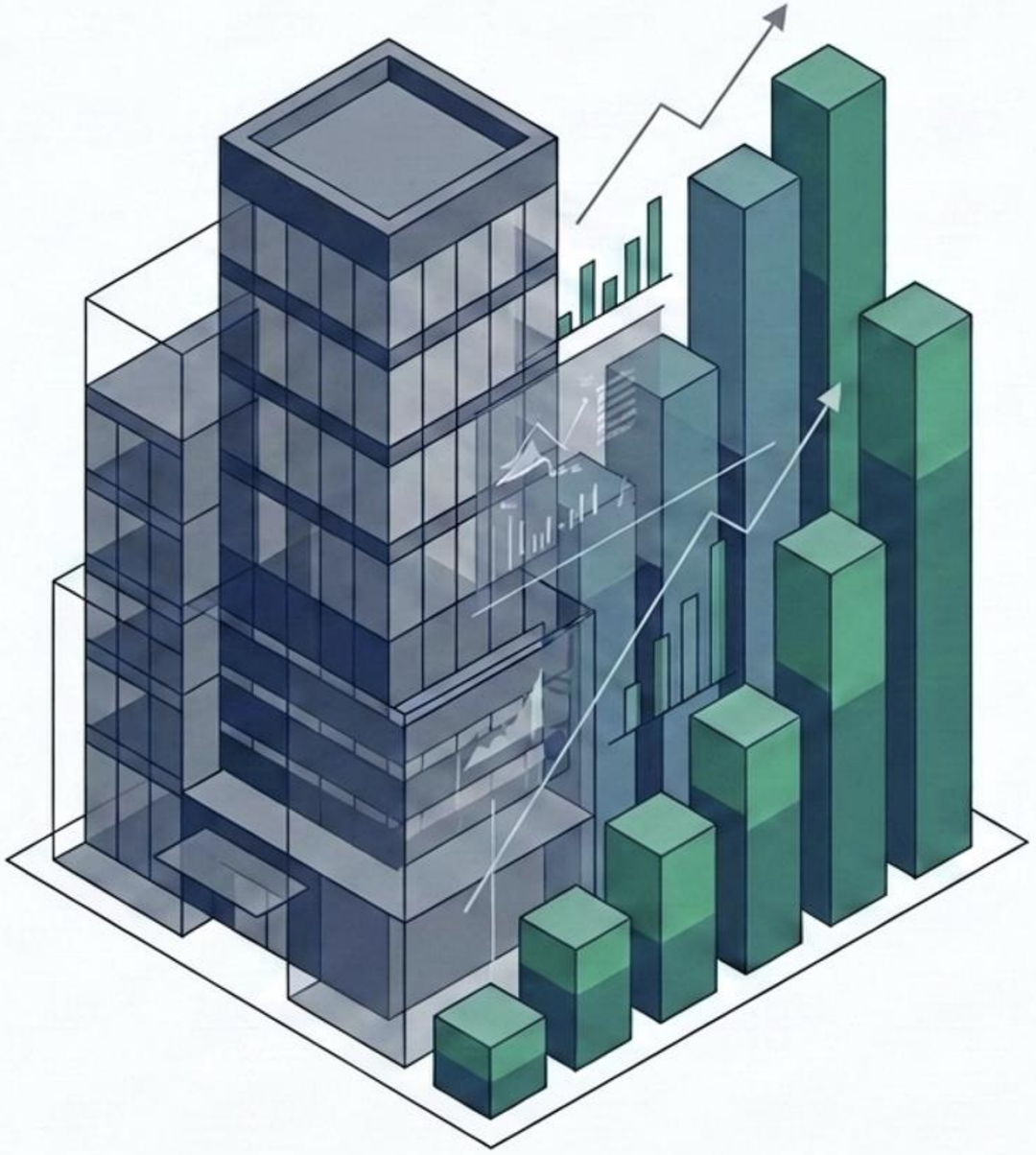


The Return of the Loan: Capital Allocation Post-Crisis

Evaluating Direct Commercial Mortgages vs. CMBS 2.0 D-Bonds

Aaryan Nannapaneni, James Huang, Jazzy Dong

Date: 30 April 2026

THE CASE CONTEXT: UPL'S DILEMMA

The Client Profile

Entity: Mid-size life insurance company ($452M total assets).

Capital to Deploy: $5.8M from maturing treasuries.

Strategic Goal: Yield enhancement via real estate debt with strict capital preservation.

The Market Environment

Macro Status: Post-2008 financial crisis. Depressed property values; strict underwriting.

Securitization Market: Thawing with the introduction of CMBS 2.0 (e.g., RBSCF 2010-MB1).

Key Structural Shift: No below-investment-grade B-piece. Fewer loans, higher visibility.

Objective: Zoe Greenwood must recommend whether UPL should originate a traditional direct commercial mortgage or buy into the first post-crisis multi-borrower CMBS deal.

The Main Issue: Two Paths to Real Estate Exposure

Path A: Direct Lending (The Traditional Route)

Mechanics: Originate a $5.8M loan on secondary market properties.

Pros: Higher promised yield, total control over workouts, straightforward asset backing.

Cons: Concentration risk, requires active management.

The Core Question:

Does the pricing of the CMBS D-Bond adequately compensate UPL for taking on the first-loss risk of a concentrated retail pool, compared to the expected returns of traditional direct lending?

Path B: CMBS 2.0 D-Bond (The Securitized Route)

Mechanics: Purchase a slice of a $309.7M pool containing 6 large commercial loans.

Pros: Passive investment, exposed to institutional-quality primary market assets.

Cons: 0% subordination in the D-tranche (first-loss position).

[QUESTION 1: PROMISED CASH FLOWS & EXPECTED RETURN]

Constructing the Direct Lending Cash Flows

Market Terms

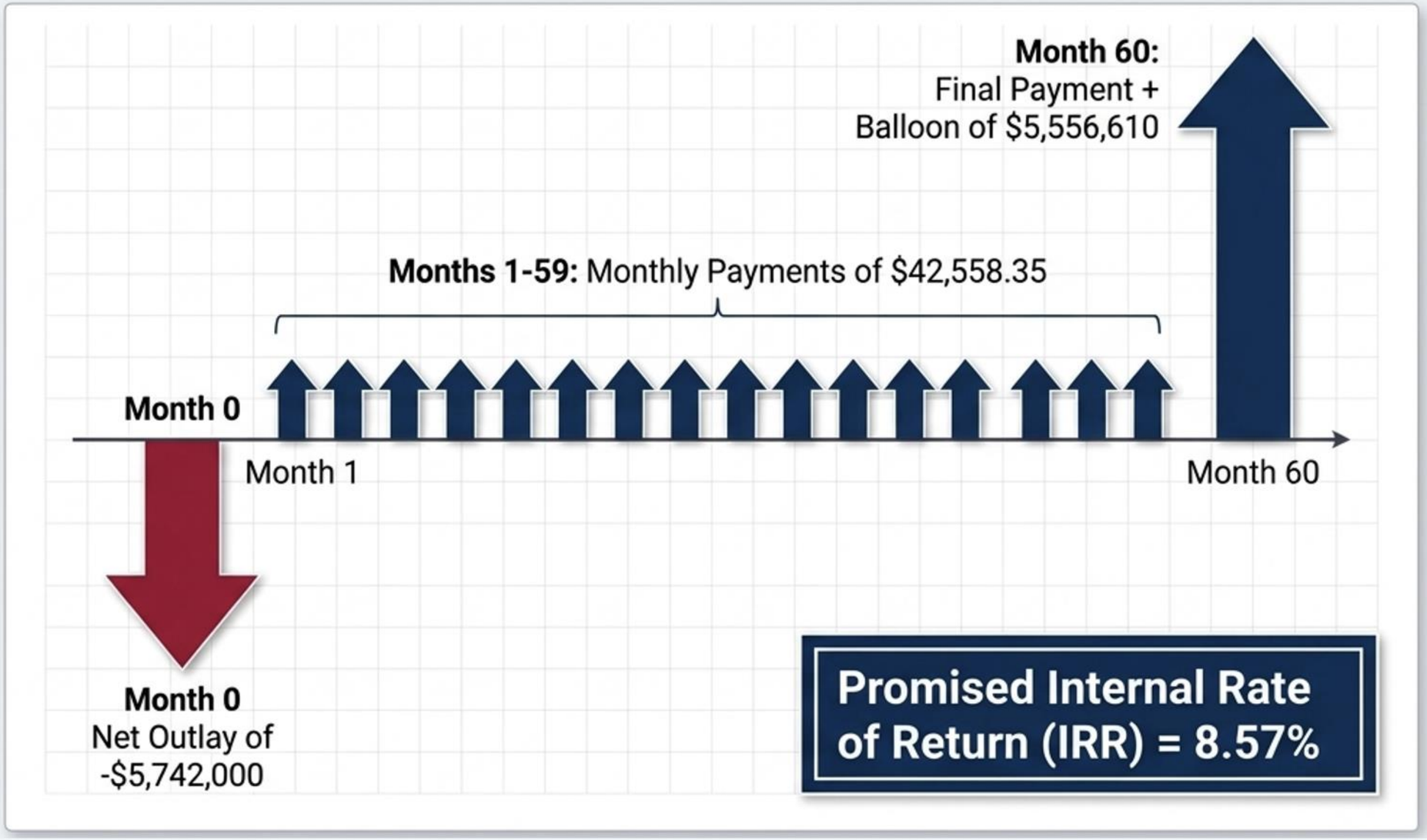
Investment Outlay:
$5,800,000

Origination Fee:
1.00% (100 bps)

Loan Term:
5 Years

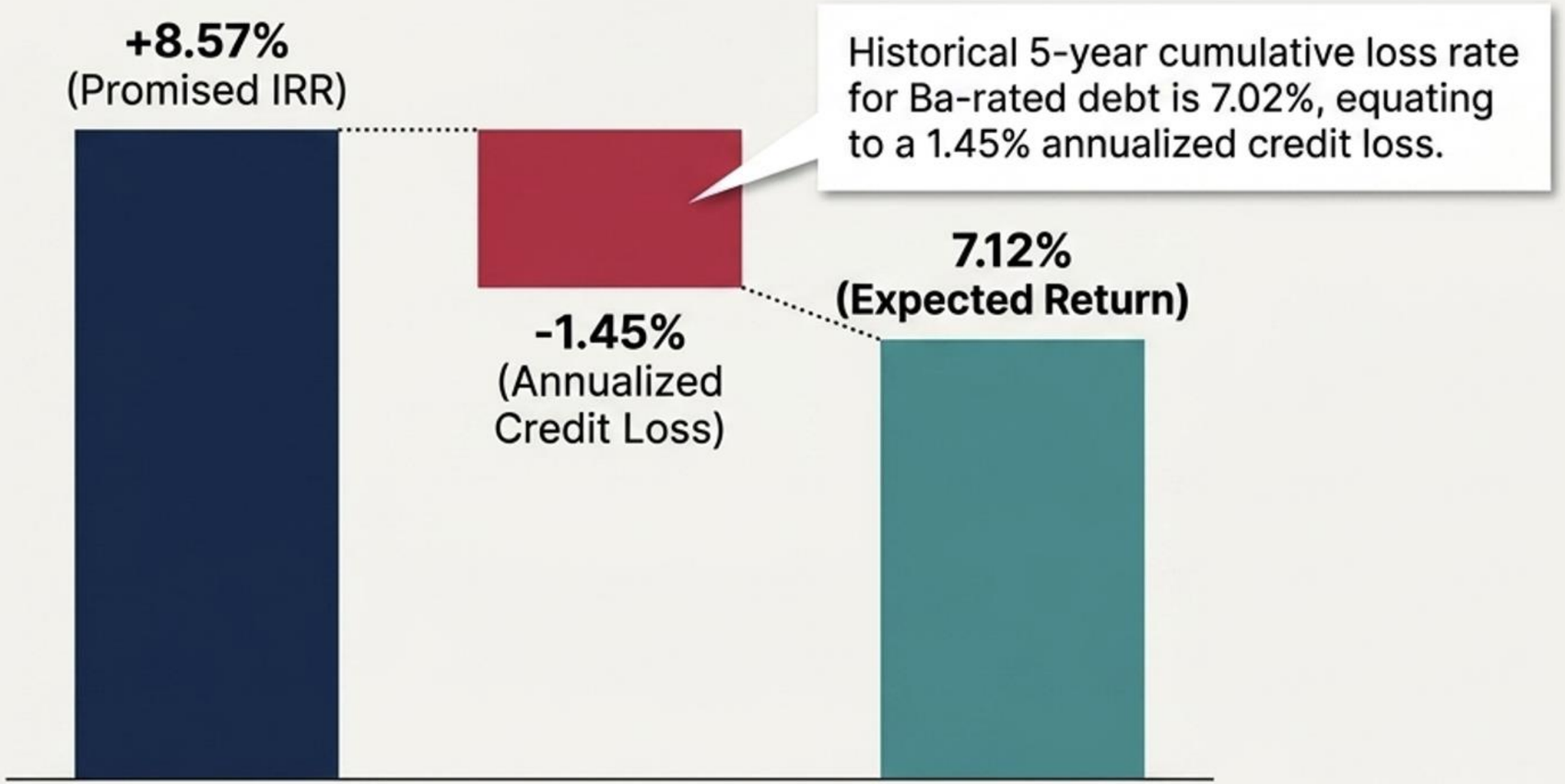
Amortization:
30 Years

Coupon Rate:
8.00%



[QUESTION 1: PROMISED CASH FLOWS & EXPECTED RETURN]

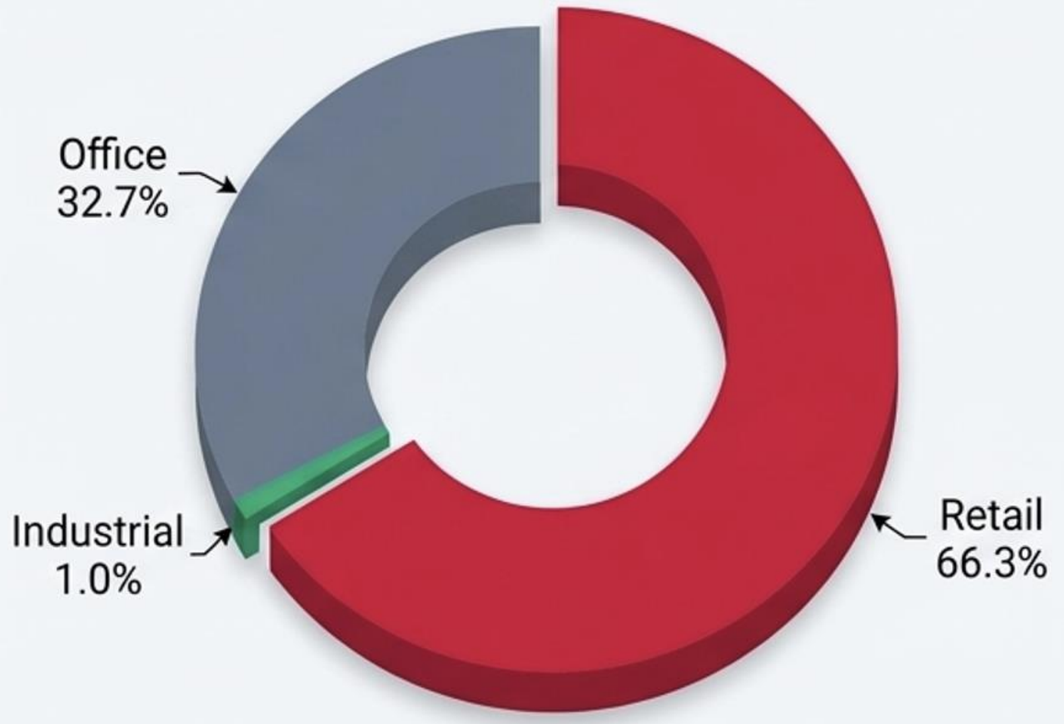
Estimating Expected Return



Market Context: At 7.12%, direct lending offers a 0.7% spread over Baa corporate bonds (6.40%), compensating UPL for the illiquidity and active management required by direct commercial real estate lending.

[QUESTION 2: ADVERSE ECONOMIC SCENARIO]

Identifying the Vulnerability: Pool Concentration



The Adverse Scenario: Dual Anchor Non-Renewal at South Plains Mall.

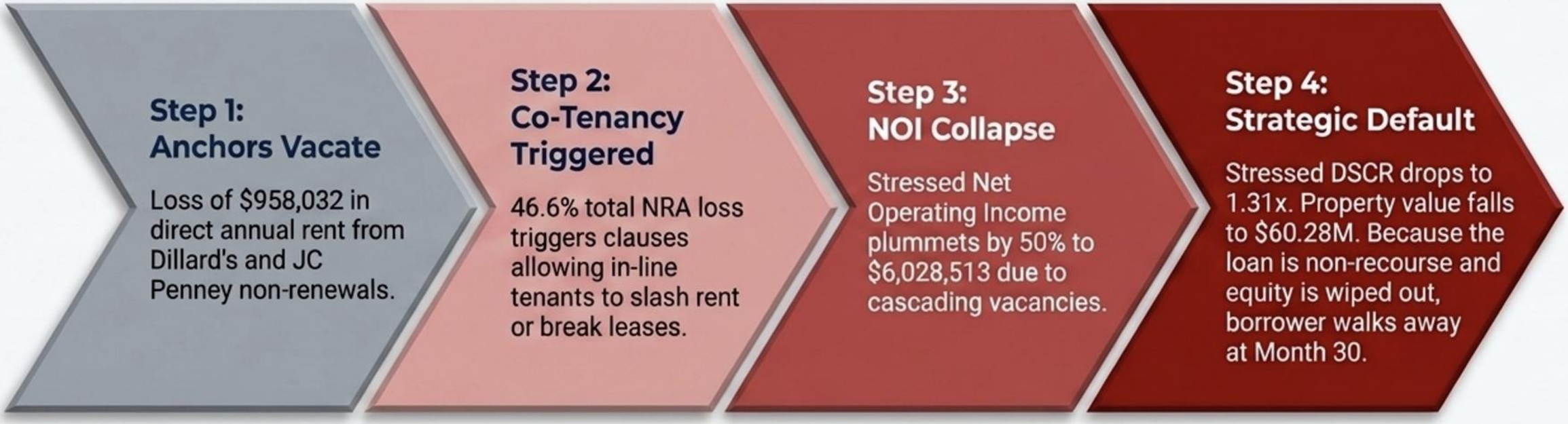
The Trigger: Dillard's (25.2% of NRA) and JC Penney (21.4% of NRA) both fail to renew leases in 2012.

Assigned Probability: 15.00%.

(Consistent with Ba-rated risk environments where non-market risks like anchor turnover are primary drivers of distress).

[QUESTION 2: ADVERSE ECONOMIC SCENARIO]

The Mechanics of Default



Outcome: Because the loan is non-recourse and the property value is below the loan balance, borrower equity is wiped out. Despite still being able to service the debt, a rational borrower would walk away- creating a strategic default at month 30

[QUESTION 2: EXPECTED RETURN TO AFFECTED LOAN]

Return on the Affected Loan

Scenario Inputs @ Month 30	
Loan Balance at Default:	$74,329,325
Stressed Property Value (Recovery):	$60,285,132
Calculated Recovery Rate:	81.1%

=

[Loan Balance] − Recovery Value = [Total Pool Loss]

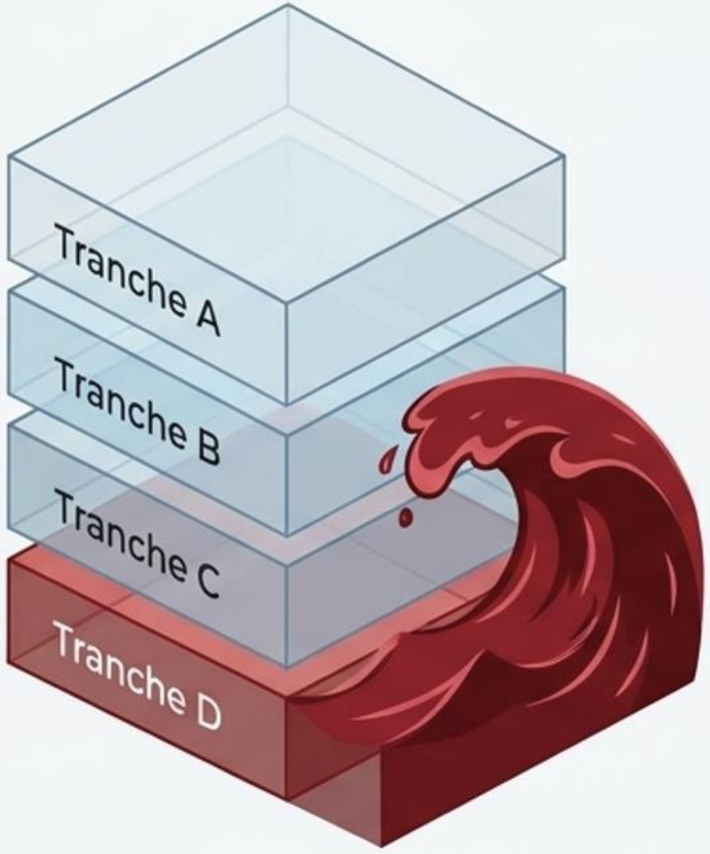
Total Loss on South Plains Loan:

$14,044,194

Takeaway: This single default creates a $14.04M crater (4.53% of the total pool), acting as a financial torpedo to the securitization structure.

[QUESTION 2: EXPECTED CASH FLOWS TO D-BOND]

The Impact on the D-Bond



The Structural Reality

D-Bond Face Value: $29,434,000

Subordination: 0.0%

Cash Flow Outcomes - Months 1-60

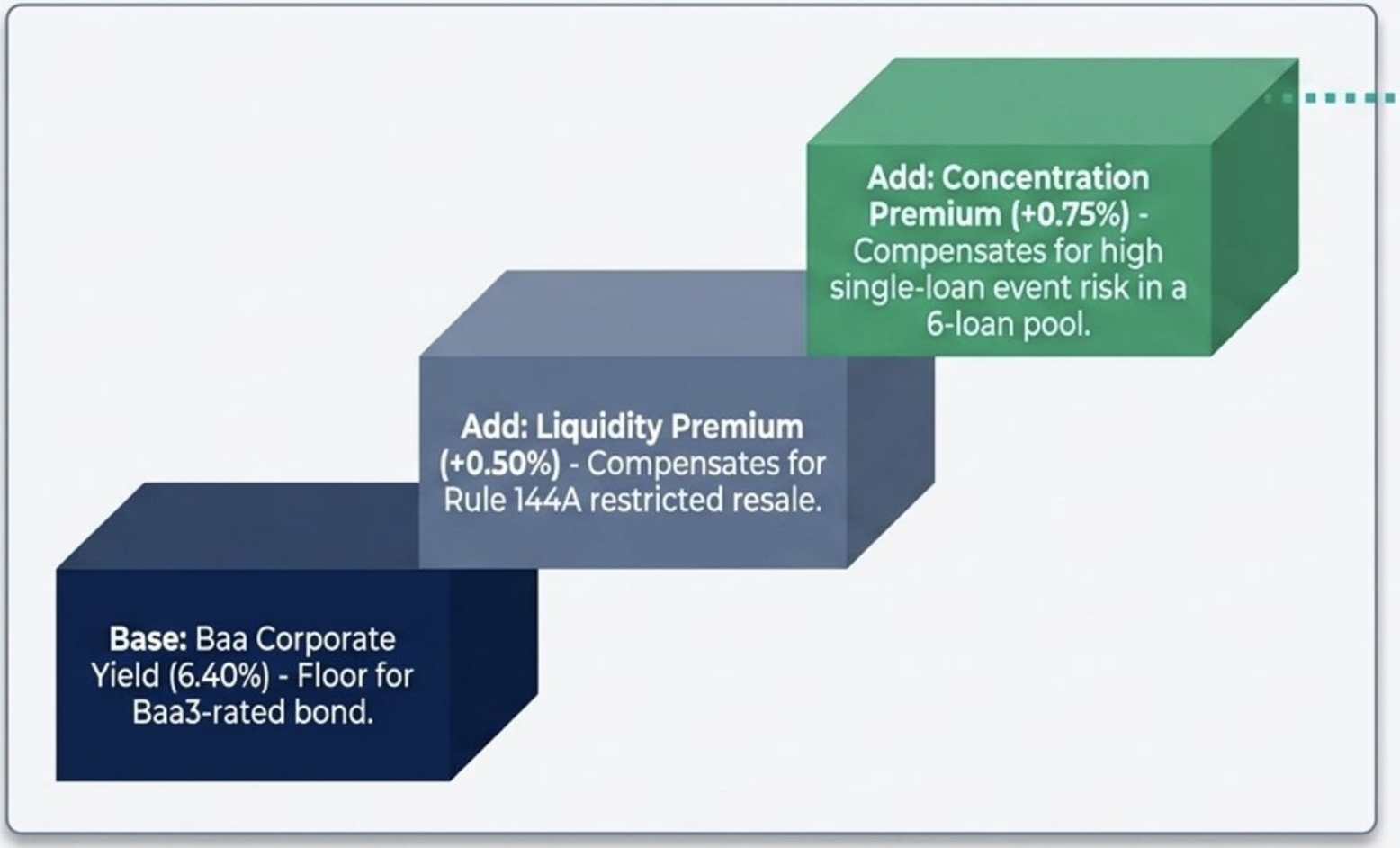
Scenario A (85% - No Default): Standard $114k monthly coupons + full $29.5M final principal return.

Scenario B (15% - Month 30 Default): Coupons stop at Month 30. Immediate recovery of $15,389,806 (52.3% recovery rate). $0 thereafter.

D-Bond Expected Return collapses to 3.17% (down from a 4.76% promised yield). The 0% subordination means D-Bond bears 100% of the South Plains loss.

[QUESTION 3: REQUIRED RETURN EXPECTATION]

Establishing the Hurdle Rate



Required Return (Hurdle Rate) = 7.65%

Strategic Note: This 7.65% hurdle safely exceeds the traditional Direct Lending expected return of 7.12%, justifying the pivot to a securitized product if achieved.

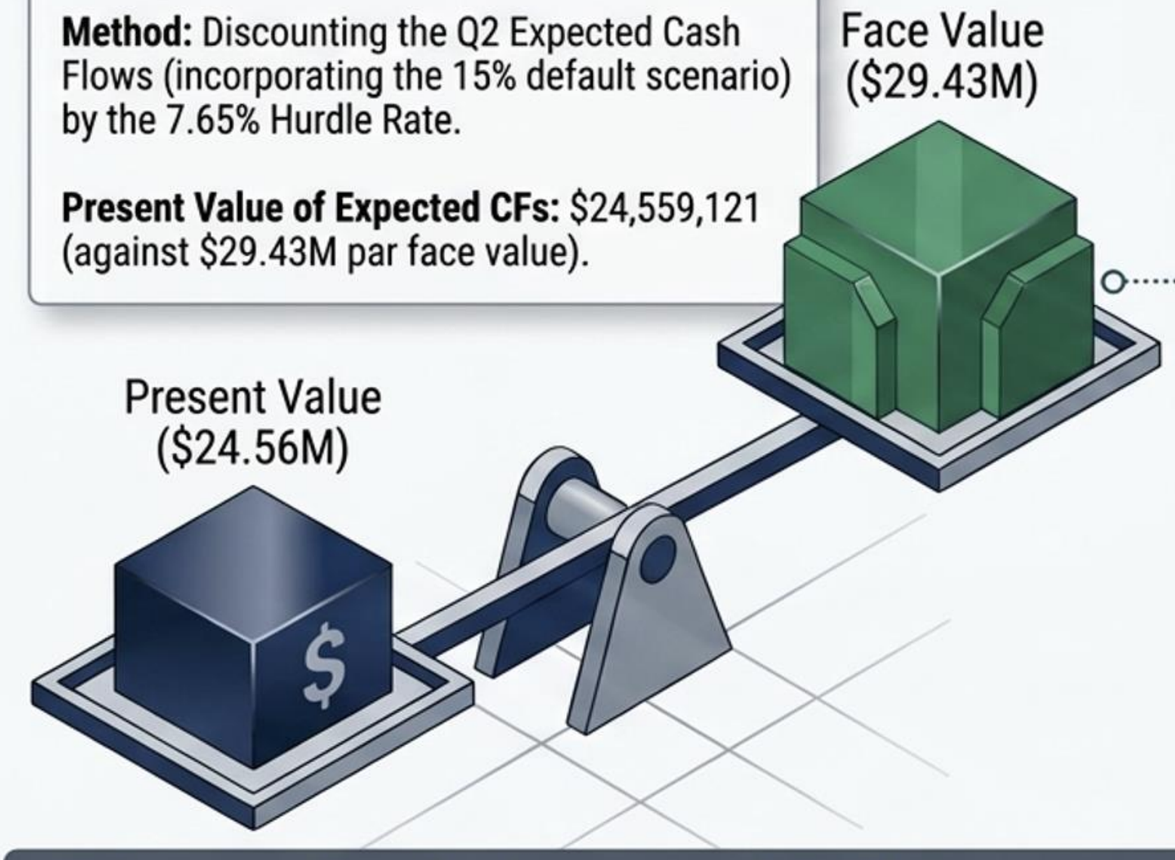
[QUESTION 3: D-BOND ACQUISITION PRICE]

Calculating the Equilibrium Price

The Logic

Method: Discounting the Q2 Expected Cash Flows (incorporating the 15% default scenario) by the 7.65% Hurdle Rate.

Present Value of Expected CFs: $24,559,121 (against $29.43M par face value).



Discount Calculation

Break-Even Price: 83.44% of Par

Price Relative to Par

Discount to Par: 16.56%

Necessary Yield Enhancement

Takeaway: Purchasing at par (100%) destroys value. UPL must demand a roughly 16.5 cent discount on the dollar to engineer a yield that absorbs the 0% subordination and retail concentration risks.

[QUESTION 3: COMPARING D-BOND TO DIRECT LENDING]

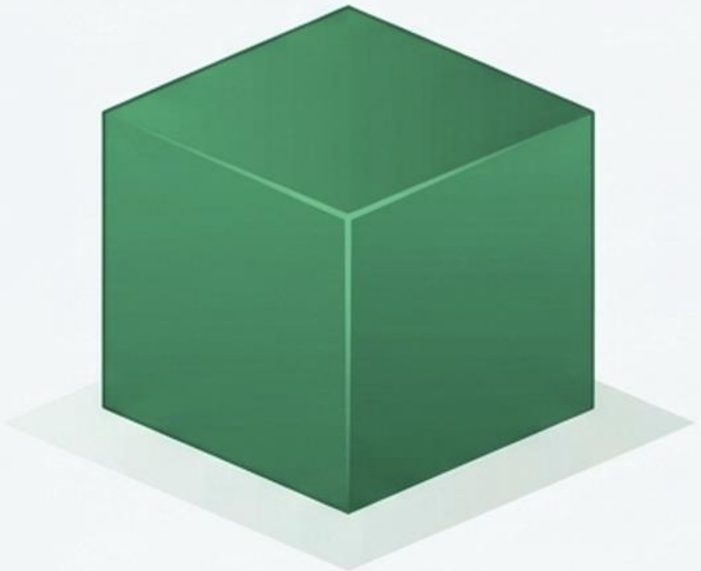
The $5.8M Purchase Reality



Direct Lending

Outlay: $5,800,000

Acquires $5,800,000 in Loan Value. (1-to-1 ratio).



D-Bond @ Break-Even Price

Outlay: $5,800,000

Acquires $6,951,275 in D-Bond Face Value.

Insight: At the 83.44% break-even price, UPL's $5.8M outlay acquires an extra $1.15M in face value. This 'free' face value is the exact mathematical armor required to protect UPL's yield against the 15% probability of the South Plains Mall wiping out.

[EXECUTIVE SYNTHESIS & STRATEGIC VERDICT]

Executive Summary: The Path Forward for UPL

Comparison Matrix	[Direct Lending]	[D-Bond at Par]	[D-Bond @ 83.44% Price]
Expected Return	7.12%	3.17%	7.65%
Risk Profile	Active/Moderate	Passive/Extreme (0% Subordination)	Passive/Hedged
Face Value Acquired ($5.8M)	$5,800,000	$5,800,000	$6,951,275
Verdict	**Baseline**	**INFERIOR**	**EQUIVALENT/SUPERIOR**

UPL should only pursue the CMBS D-Bond if it can be acquired at a market price of 83.44% of par or lower. Otherwise, UPL must default to the traditional Direct Lending strategy, which provides a mathematically superior risk-adjusted baseline.